SOPHIQ × KNIGHT FRANK · MARKET SYNTHESIS

Prime Madrid is a question of confidence.

Madrid is consolidating its position as Europe's fastest growing prime residential market: scarce supply, an increasingly international buyer and prices rising steadily, with little speculation behind them.

June 2026 · Data: Knight Frank, Madrid Insight 2025/26

THE NUMBERS

Four figures that define the market

+5.0% Prime price growth in 2025 (+4.5% forecast for 2026).	**45%** Of prime purchases are already made by international buyers (30% in 2018).
43% Of Spain's UHNWIs are concentrated in Madrid (+10% forecast through 2027).	**#1** Fastest growing prime market in Europe, ahead of London and Paris.

THE THESIS IN THREE IDEAS

Limited supply, growing demand and an increasingly global buyer

01

Prices rising, and resilient

Tenth consecutive year of growth, apart from the dip in 2020. The upward path that began after the pandemic holds.

02

Internationalised demand

The foreign buyer gains weight year after year. Latin America leads (26%) and the US has multiplied since 2018.

03

Structurally limited supply

Regulation and the city's urban character hold back new build. In Salamanca it fell by 20% against 2020.

On the Golden Visa. The end of the Golden Visa and the tax noise around non-residents have had virtually no impact on Madrid's prime segment. Demand that is largely non-speculative and long in horizon underpins the stability of the market.

PRICE EVOLUTION

Ten years of appreciation, with the upward path intact into 2026

Madrid has strung together sustained prime price growth for a decade (2020 the only exception), a steadier and less speculative trajectory than that of other European capitals.

HOW MANY M² DOES US$1 M BUY?

Madrid has appreciated strongly while London adjusted downwards

City	2014	2024	Change
Madrid	125 m²	70 m²	–44%
Paris	51 m²	42 m²	–18%
London	23 m²	34 m²	+43%

m² purchasable with US$1 M of prime residential property. Source: Knight Frank Research.

67.1%

Foreign investment

Of Spain's gross foreign investment went to Madrid in 2024.

100 M

Visitors

Forecast for 2025, in a city that is ever more global both as a destination and as an asset.

WHERE THE PRIME BUYER COMES FROM

The domestic buyer loses ground to a global market

In 2025 the international buyer accounts for 45% of prime transactions, against 30% in 2018. Latin America leads foreign demand and the US buyer has multiplied since 2018.

45%

International (2025)

Of all prime transactions. It was 30% in 2018.

26%

Latin America

The main source of foreign demand in the prime segment.

PRIME GEOGRAPHY

Salamanca remains the epicentre of prime Madrid

Five districts inside the M-30 concentrate most of the high-end transactions, plus La Moraleja as the enclave for luxury detached homes.

Salamanca range. The average prime price in Salamanca sits between €13,000 and €15,400 per m^2, the ceiling of Madrid's residential market.

THE BOTTLENECK

Limited new supply pushing demand towards refurbished stock

Limited new build

Local regulation and the city's urban character rule out large high-rise developments. That is not expected to change in the short term.

Salamanca –20%

New build supply in the most prime district fell by close to 20% comparing 2025 with 2020.

Towards refurbished stock

Demand shifts to existing homes refurbished down to the last detail, with amenities and exclusive finishes.

Sustained upward pressure

Scarce supply plus growing demand is the equation that underpins the appreciation of prime Madrid.

BRANDED RESIDENCES

Exclusivity with five-star hotel service

After the Four Seasons milestone, Madrid is consolidating its position at the very top end with Banyan Tree Padilla and SLS Madrid Infantas, and three more projects under construction.

+25–35%

Typical premium over non-branded projects.

€18,000

Average price per m² (up to €25,000 per m² in exceptional cases).

What this report means if you are buying today

- **A figure from a respected third party.** Prime Madrid is the fastest growing market in Europe. That is not our opinion, it is Knight Frank's.
- **A structural scarcity of supply** that supports the thesis Sophiq is built on.
- **45% international buyers** (Latin America, the US, the UK): the market you would be buying alongside.
- **Regulatory resilience,** the answer to the question every non-resident buyer asks first.

A note on use: Knight Frank measures the prime and ultra-prime segment (Salamanca €13,000–15,400 per m²), above the mid-market bracket Sophiq buys in. Read it as a thermometer of market confidence, not as a direct price per m² comparable for our own transactions.

Sophiq synthesis · Data: Knight Frank, Madrid Insight 2025/26 (IMF, INE, Comunidad de Madrid, Wealth Report 2025). June 2026.